

2.3 FACTORS OF PRODUCTION

Multiple Choice Questions

1990/CE/II/13

Which of the following is an example of 'land' in economics?

- A. reservoirs
- B. factories
- C. rubber plantations
- D. mineral deposits

1991/CE/II/10

Which of the following is an example of land in economics?

- A. reclaimed land
- B. crude oil underground
- C. gasoline stored underground
- D. Victoria Harbour following improvements

1992/CE/II/07

The war in the Middle East has led to fires in the oil wells in Kuwait. Teams of firemen were there risking their lives to put out the fires. Economists classify crude oil as _____, oil pumps as _____, firemen as _____ and the owners of the oil wells as _____.

- A. capital capital entrepreneurs entrepreneurs
- B. capital land labour labour
- C. land land capital entrepreneurs
- D. land capital labour entrepreneurs

1993/CE/II/08

Which of the following belongs to the factor of production 'land'?

- A. the reclaimed land in West Kowloon
- B. the fishing grounds in the South China Sea
- C. the MacLehose Trail
- D. the killer whale in the Ocean Park

1996/CE/II/15

Which one of the following is an example of land?

- A. solar energy collected from sunlight by a power plant
- B. rainwater collected in reservoirs
- C. land reclaimed from the sea
- D. dew on farmland in the morning

1997/CE/II/13

Which of the following is classified as land in economics?

- A. live fishes sold in a seafood restaurant
- B. silver ore in a mine
- C. the newly reclaimed land in Western Kowloon
- D. a piece of cultivated land

1998/CE/II/12

Which of the following is classified as land in economics?

- A. Land reclaimed along the Victoria Harbour
- B. Fish caught in the high seas (公海)
- C. Plants grown in the country parks
- D. Crude oil newly discovered underground

1999/CE/II/11

Land is different from capital in that

- A. Land cannot be increased but the capital can.
- B. Land is more demand inelastic than capital.
- C. The use of land does not cost anything but the use of capital does.
- D. Land is less occupationally mobile than capital.

2000/CE/II/14

'Wild birds in the forests are classified as land in economics,' This statement is

- A. true, because they are free goods
- B. true, because they are natural resources.
- C. false, because they can move while land is geographically immobile.
- D. false, because their supply is not fixed.

2003/CE/II/16

Which of the following statements about 'land' is correct?

- A. The supply of land may be increased through human effort.
- B. The supply of land may change over time.
- C. Land is a free good because it is part of nature.
- D. Land is a scarce good because it cannot be produced.

2005/CE/II/15

Which of the following is classified as land in economics?

- A. soil with chemical fertilizers added to it
- B. trees in a plantation area
- C. underground coal reserves
- D. a piece of cultivated land

2007/CE/II/16

Which of the following statements about land is correct?

- A. Crude oil unextracted is land because it is fixed in supply.
- B. Ocean is land because it is geographically immobile.
- C. Rainfall on a piece of farmland is land because it is a gift of nature for production.
- D. Wood being cut in the tropical forest is land because it is used for production.

2008/CE/II/14

Which of the following are land in economics?

- (1) the Chinese white dolphins living in the waters around Lantau Island
 - (2) the giant pandas living in Ocean Park Hong Kong
 - (3) migratory birds found in the Deep Bay (后海湾)
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2009/CE/II/15

Which of the following belongs to the factor of production 'land'?

- A. endangered species of Tibetan antelope (藏羚羊) found on the Tibetan Plateau (青藏高原)
- B. flowers planted in Hong Kong Disneyland
- C. crocodiles living in Hong Kong Wetland Park
- D. oxygen provided in the trains running across the Tibetan Plateau

1994/CE/II/16

Capital differs from land in that, for example,

- A. capital is produced from scarce resources but land is not.
- B. capital has a smaller supply elasticity.
- C. the demand for capital is a derived demand but that of land is not.
- D. capital generates a higher return to its owners.

1995/CE/II/18

The payment for the use of some well-known franchised names such as 'McDonald's' and '7-Eleven' can be regarded as

- A. interest.
- B. rent.
- C. profit.
- D. wage.

1998/CE/II/16

Knowledge

- A. is not capital because it does not have a physical form.
- B. is not capital because its ownership is not transferable.
- C. is capital because it is desired by everybody.
- D. is capital because it can increase wealth in the future.

2000/CE/II/13

Which of the following is classified as capital?

- A. The singing skill of a superstar
- B. The sunlight people enjoy on the beach
- C. A strong current in the ocean
- D. An oasis in the desert

2001/CE/II/09

Which of the following statements about land and capital is correct?

- A. Land has no occupational mobility but capital does.
- B. There is no cost of producing land but there is cost of producing capital.
- C. Land is a free good but capital is an economic good.
- D. Over time, the quantity of land is fixed but that of capital is not.

2001/CE/II/11

Which of the following is classified as 'capital'?

- A. sunshine in California
- B. oil wells in Kuwait
- C. sand in the Sahara Desert
- D. fresh air in the Alps

2002/CE/II/15

In economics, which of the following statements about capital is correct?

- A. The quantity of fixed capital cannot be changed in the short run.
- B. Capital earns the highest rate of return among all factors of production.
- C. Capital is produced to satisfy consumers' wants directly.
- D. The geographical mobility of capital is greater than that of land.

2007/CE/II/17

Land is different from capital in that

- A. the supply of land cannot be controlled, whereas that of capital can be.
- B. land is a free good but capital is an economic good.
- C. land has a lower occupational mobility than capital.
- D. land has a greater supply elasticity than capital.

2007/CE/II/18

In Economics, a taxi is classified as _____ and the income of the taxi owner from renting the taxi to a driver is classified as _____.

- A. land rent
- B. capital interest
- C. land interest
- D. capital profit

2007/CE/II/17

Which of the following about 'land' and 'capital' is correct ?

- A. Both land and capital can be increased by human effort.
- B. Both land and capital are fixed factors of production.
- C. Land is more elastic in supply than capital.
- D. Land is less geographically mobile than capital.

2016/DSE/1/6

A school is a production unit which provides educational services. The following are people and objects that are usually found at a school:

- (1) the school building
- (2) teachers
- (3) students
- (4) private cars owned by teachers
- (5) sanitisers (洗手液) in the toilets

Which of the above items are capital of the school?

- A. (1) and (4) only
- B. (1) and (5) only
- C. (2) and (3) only
- D. (1), (4) and (5) only

1990/CE/II/28

Which of the following factors of production would have its return determined only after the products are sold?

- A. land
- B. labour
- C. capital
- D. entrepreneurship

1991/CE/II/07

Which factor return has all of the following characteristics?

- I It can be negative
- II It can be very large
- III It is not known before sale of finished products

- A. rent
- B. wages
- C. interest
- D. profits

1992/CE/II/08

The main function of entrepreneurship is

- A. to design new products
- B. to bear risks
- C. to provide technical expertise
- D. to make routine business decisions

1995/CE/II/19

Which of the following about the return for entrepreneurship is true?

- A. It can be determined before the commodity is sold.
- B. It can be positive or negative.
- C. It does not vary with the business performance of the firm.
- D. It is higher than the return for labour.

1997/CE/II/57

Mrs. Lee is a hawkker. She sells fresh flowers in Mong Kok. Which of the following is **INCORRECT**?

- A. She is a secondary producer.
- B. She is a tertiary producer.
- C. She provides entrepreneurial skills.
- D. She provides labour service.

2001/CE/II/12

Dennis opened a convenience store and he has employed his friend, John, as a storekeeper. Dennis' work is classified as _____ and John's work is classified as _____.

- A. secondary production labour
- B. tertiary production entrepreneurship
- C. labour secondary production
- D. entrepreneurship tertiary production

2004/CE/II/14

Michael Owen is a famous football player for Liverpool Football Club. In economics, he provides the service of _____ and he engages in _____ production.

- A. entrepreneurship secondary
- B. entrepreneurship tertiary
- C. labour secondary
- D. labour tertiary

2006/CE/II/13

Mr Chan is the owner of a printing factory and he employs Mary as an accountant. The factory engages in _____ production and Mary provides the service of the factor _____.

- A. secondary labour
- B. secondary entrepreneurship
- C. tertiary labour
- D. tertiary entrepreneurship

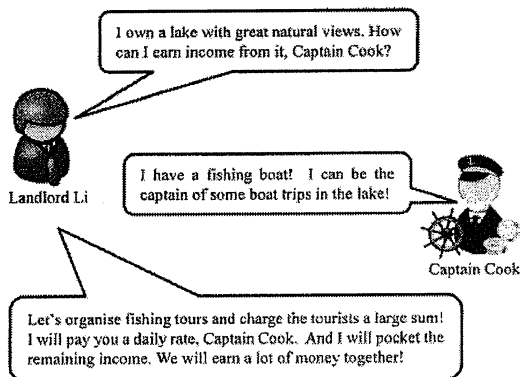
2019/DSE/I/08

Which of the following are capital of a cafe?

- (1) coffee machines
 - (2) coffee beans
 - (3) video game consoles brought by its customers for party
 - (4) comic books which can be borrowed by its customers free of charge
- A. (1) and (2) only
 - B. (1), (2) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

2020/DSE/I/6

Refer to the following dialogue.

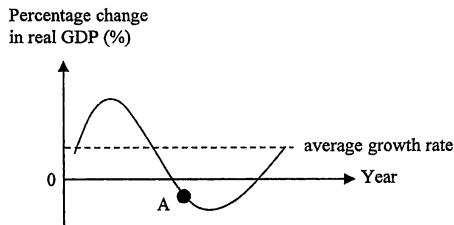


Given the return of land is rent, the return of labour is wage, the return of capital is interest while the return of entrepreneur is profit. The income earned by Captain Cook consists of _____ while the remaining income earned by Landlord Li consists of _____.

- A. wage profit
- B. interest.....rent and profit
- C. wage and interest..... rent
- D. wage and interest.....rent and profit

2025/DSE/I/36

Study the following diagram.



Which of the following are economic phenomena that likely occur when an economy is operating at point A?

- (1) The percentage of shop premises that are vacant is increasing.
 - (2) The frequency of non-repayment of bank loans is increasing.
 - (3) The expenditure on imported goods is increasing.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1991/CE/1/4(a)(i)

Mr. Chan was a lorry driver of a construction company. Last year, he left the company and began to work on his own with his lorry, taking orders directly from customers.

Explain whether Mr. Chan runs a firm.

(3 marks)

1995/CE/1/11(b)

Mr. Ip owns a property agency (物業代理行) and hires Mary as a clerk of his firm. Distinguish between the economic roles played by Mr. Ip and Mary. Explain your answer.

(4 marks)

1996/CE/1/4(b)

A traffic light, which was worth \$1 500, was knocked down in a traffic accident. The driver was fined \$3 000 and the government used \$2 000 to install another traffic light.

Explain why the traffic light is a kind of capital.

(2 marks)

1997/CE/1/1

Peter owns a plot of land for farming in the New Territories. He hires workers to work together with him on his farm. To what **TYPES** of factor of production does Peter belong? Explain your answer.

(4 marks)

2000/CE/1/3

Explain why an incinerator (焚化爐) is a capital.

(2 marks)

2004/CE/1/9(e)

Explain which type of factors of production the cars displayed in the showrooms belong to.

(2 marks)

2005/CE/1/2

Ka Ming is the owner of an air-conditioner repair company. He also repairs air-conditioners for his customers. To what types of factors of production does Ka Ming belong? Explain.

(4 marks)

2014/DSE/11/2(a)

Ah Wing runs a store selling mobile phone accessories in Mong Kok. To what factor of production does Ah Wing belong?

Explain your answer.

(2 marks)

2016/DSE/11/10(b)

Solar energy becomes an increasingly important energy source in the sunny western provinces, like Gansu and Xinjiang, in China.

Solar panels are installed atop the roofs of many residential buildings to generate solar energy in those western provinces.

Explain to which type of factors of production the sunshine belongs in the production of solar energy.

(2 marks)

2018/DSE/11/2(b)

Last year, Peter operated a sole proprietorship. Recently he invited Paul and Mary to form a partnership to expand the business to other markets.

Mary has invested in the firm but would not take part in its management. To what type of factor of production does Mary belong? Explain your answer.

(2 marks)

2021/DSE/II/1

The following is the advertisement of an online food delivery firm for recruiting riders.

Riders Wanted !!!	
	
<u>Earn great money</u> • High salary for each delivery! • Keep 100% tips from customers	<u>Bring your own equipment</u> • A smartphone • A motorcycle with the necessary safety equipment

- (b) Explain whether the smartphones and motorcycles of the riders are consumer goods or capital goods.

(2 marks)

2023/DSE/II/2(a)

Study the following news extract.

A postal company has decided to introduce its first digital employee, a smart chatbot (智能聊天机器人). The chatbot can answer commonly asked questions from customers, freeing up the customer services team to solve more complex queries.

- (a) Explain to which type of factor of production the chatbot belongs.

(2 marks)